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MAI–201

M. B. A. (AI & DS) (SECOND SEMESTER)

END SEMESTER EXAMINATION, July/Aug., 2022

BUSINESS ENVIRONMENT

Time : Three Hours

Maximum Marks : 100

Note : (i) This question paper contains two Sections–Section A and Section B.

(ii) Both Sections are compulsory.

(iii) Answer any *two* sub-questions among (a), (b) and (c) in each main question of Section A. Each question carries 10 marks.

(iv) Section B consisting of case study is compulsory. Section B is of 20 marks.

Section—A

1. (a) Do ethics have a place in business ? Can values take a back seat in the process of creating value for all stakeholders ? (CO3)

(b) "Profit motive and social responsibility are contradictory." Comment. (CO2)

(c) "Economic and social objectives of business are complementary to each other." In the light of this statement explain the ways for reconciling these two types of objectives. (CO5)

P. T. O.

2. (a) Describe the various components of external environment that influence the business policy of an organization. (CO1)

(b) "Where there is no culture, where does the question of hard work arise ?" Explain. (CO4)

(c) "Demographic and cultural factors are the backbone of India for sustainable development." Elucidate. (CO5)

3. (a) Discuss the role of government as regulator of business. What are the areas of government's direct control ? Do you feel business in India is excessively regulated ? (CO5)

(b) The future lies with globalization. Explain. (CO2)

(c) Discuss the changing environment of Business in India since 1991. (CO3)

4. (a) "Economic liberalization alone cannot yield desired results without suitable political and legal changes." Discuss. (CO4)

(b) Give your arguments for and against privatization. (CO1)

(c) How multi-national corporations are affecting business environment of a country ? (CO6)

Section—B

5. **Case Study :** (CO5, CO6)

Indian Oil Corporation and Social Responsibility

Do we reach out to the people ? Are our efforts visible in the far flung villages in backward areas of the country ? Indian Oil Corporation (IOC) believes that the answer to these questions is yes. Indian Oil Corporation energizes the lives of Indians in one way or the other. The corporation has

invested heavily in staff, customers, stakeholders and society and this is "because they care". The essence of Corporate Social responsibility is the continuing commitment by business to behave ethically and contribute to economic development while improving the quality of life of work force, their families as well as society at large. Any business needs a stable social environment that provides a predictable climate for investment and trade. At the same time society also has expectations from the business. In this manner, businesses and society are interdependent and businesses must take full account of the societal expectations. Increasing regulatory pressures could be one of the reasons for undertaking CSR activities. However, in this day and age, CSR is increasingly being. Viewed riot only as making good business sense, but also as contributing to long-term prosperity of the companies and ultimately their survival.

The challenge for successful company in Indian and global economy is to build and maintain efficient, effective and fair relationship with its global and local stakeholders. An increased brand value, greater access to finance, stronger risk management and corporate governance, healthier and safer work place, motivated people, customer loyalty and enhanced confidence and trust are the benefits of excellent CSR.

As corporate grow in strength in a rapidly globalizing environment, their contribution to the development of the society becomes increasingly pertinent. The emergence of CSR has been critical for millions of people left below the poverty line. Indian Oil Corporation receives complete support and direction from board of directors for its CSR activities, with director (HR) at the helm of affairs. D. M. Reddy, executive director, states,

"Corporate Social Responsibility is one of the prime focus areas of a corporation.

The whole approach towards contributing to society is very scientific and well, thought out. In all such endeavors, the benefits should trickle down to as many people as possible. Corporation should look forward to long term relation with the community whose life it touches. Through community development initiatives, corporations can strive to evolve community holistically in all spheres, viz. health, education, infrastructure, income generation, vocational guidance. Having contributed towards a society after assessing the needs, a corporate can ensure a proper feedback system to realize the impact of its contribution. Based on studies, it can review its approach and implement new strategies."

Social Service Activities Undertaken by IOC :

Infrastructure Development : Provision of tube wells, bore wells, dug wells for drinking water and irrigation, construction of multi-purpose community center to accommodate school (non-formal education), balwadi (primary education), health centre, community centre, construction of sanitation block to promote hygiene, provision of alternate sources of energy, solar energy-based street lights and lighting for village and community centre.

Education : Support-provision of uniforms, notebooks, stationery, teaching material, educational aids, sweater and food supplements, educational scholarships to children from the economically backward classes for pursuing their studies, till complete their education, aptitude testing and vocational guidance for higher secondary children through experienced psychologists.

Health Care : Regular health checkup for villagers by doctors, provision of free medicines for minor ailments, guidance on family welfare and general health care, free medical dispensaries, cataract surgery and intra-ocular lens treatment.

Skill Enhancement : Adult education, modern farming practices, training on income generation vocations etc.

Questions :

1. Explain CSR. Why is it assuming greater relevance now-a-days ?
2. What are the learning's from CSR initiatives of IOC ? How you believe that society can benefit from IOC's CSR activities ?